

the presence of this excessive bond issue might prevent the stock from selling at 12 times its earnings, because conservative stock buyers would avoid Company C as subject to too great hazard of financial difficulties in the event of untoward developments. The result may well be that, instead of being worth \$18,000,000 in the market as originally assumed, the combined bond and stock issues of Company C will sell for less than \$15,000,000 (the Company B valuation), or even for less than \$12,000,000 (the value of Company A).

As a matter of cold fact, it should be recognized that this unfavorable result may not necessarily follow. If investors are sufficiently careless and if speculators are sufficiently enthusiastic, the securities of Company C may conceivably sell in the market for \$18,000,000 or even more. But such a situation would be unwarranted and unsound.² Our theory of capitalization structure could not admit a Company C arrangement as in any sense standard or suitable. This indicates that there are definite limits upon the advantages to be gained by the use of senior securities. We have already expressed this fact in our principle of the optimum capitalization structure, for senior securities cease to be an advantage at the point where their amount becomes larger than can safely be issued or bought for investment.

We have characterized the Company A type of capitalization arrangement as "overconservative"; the Company C type may be termed "speculative," whereas that of Company B may well be called "suitable" or "appropriate."

The Factor of Leverage in Speculative Capitalization Structure.

Although a speculative capitalization structure throws all the company's securities outside the pale of investment, it may give the common stock a definite speculative advantage. A 25% increase in the earnings of Company C (from \$1,000,000 to \$1,250,000) will mean about a 50% increase in the earnings per share of common (from \$5.20 to \$7.70). Because of this fact there is some tendency for speculatively capitalized

² In 1925 Dodge Brothers (motor) securities were sold to the public on the basis of \$160,000,000 principal value of bonds and preferred stock and about \$50,000,000 market value of common. Net tangible assets were only \$80,000,000, and average earnings about \$16,000,000. This obviously top-heavy capitalization structure did not militate against the security values at first, but a severe decline in earnings in 1927 soon revealed the unsoundness of the financial setup. (In 1928 the company was taken over by Chrysler.)